Amphenol Corporation (NYSE: APH)

A great business priced for its bull case

Rating

HOLD

12-month PT **$72** (-9%)

Price $79.35 (Oct 16, 2026 close)

We initiate at HOLD with a $72 price target. Amphenol is executing as well as any industrial company we know. The price already reflects that.

- **Growth is real and broad.** Q2 2026 sales rose 55% to $8.76B, with 30% organic growth, led by IT datacom (AI data-center interconnect). Orders were a record $10.7B (book-to-bill 1.23). Q1 was similar: +33% organic, book-to-bill 1.24.
- **Management under-promises.** Revenue beat the top of guidance by 9% in Q1 2026 and 7% in Q2. Adjusted EPS beat by 14% and 16%. CommScope's CCS business (closed January 9, 2026) is now guided to $4.6B of 2026 sales and $0.30 of pre-split EPS accretion, up from $4.1B and $0.15.
- **Margins are at a record.** GAAP operating margin rose from 20.4% (2023) to 25.4% (2025) and 29.5% in Q2 2026. Q2 includes a one-time $80M tariff (IEEPA) refund, so our 2H26 run-rate is 28.5%.
- **Valuation leaves little room for error.** At $79.35, APH trades at 31x our 2026E and 25x our 2027E GAAP EPS ($2.53 / $3.12). Our reverse DCF says today's price needs revenue growth of about **18% in 2027**, fading in a straight line to 3.5% by 2036, with 28% margins and a 9.8% WACC. That is roughly our bull case.
- **Why not a SELL:** the earnings momentum is intact, and APH has spent most of the last five years above its median P/E. On the 25th-percentile multiple of its own history (26.3x), 2027E EPS is worth $82.

What would change our view. We would upgrade below ~$62 (our base DCF). We would also upgrade if Q3/Q4 results put 2027 on track for 20%+ growth at a 29%+ margin. We would downgrade if book-to-bill falls below 1.05 (orders slowing to IT datacom), or if Communications Solutions margins slip under 30% as CCS is integrated.

Price (Oct 16, 2026)	**$79.35**
52-week range	**$59.01-$89.93**
Market cap	**$195.7B**
Enterprise value	**$209.2B**
Basic / diluted shares	**2,466M / 2,578M**
Net debt / TTM EBITDA	**1.5x**
Dividend (quarterly) / yield	**$0.125 / 0.6%**
TTM revenue / EBIT margin	**$29.0B / 27.0%**
2026E / 2027E revenue	**$36.0B / $41.4B**
2026E / 2027E GAAP EPS	**$2.53 / $3.12**
P/E 2026E / 2027E	**31.3x / 25.5x**
Trailing P/E (5-yr median)	**38.0x (35.3x)**
WACC / beta	**9.84% / 1.17**

Per-share data reflect the 2-for-1 split effective Sept. 2, 2026. EPS is GAAP and split-adjusted. Sources: SEC filings, Yahoo Finance, FRED, author's model.

APH share price, 2 years (weekly)



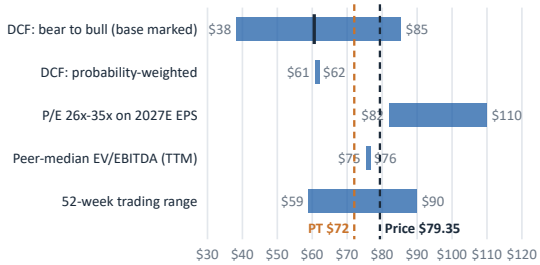
Valuation: $72 price target, HOLD

Our price target weights two methods 50/50:

- **Probability-weighted DCF: $61.19.** Bear $38 (25%), base $61 (50%), bull $85 (25%). Ten years of unlevered free cash flow plus a 2H26 stub, discounted at a 9.84% WACC, with a Gordon growth terminal value.
- **P/E: $82.01.** 26.3x (the 25th percentile of APH's point-in-time trailing P/E since October 2021) times 2027E EPS of $3.12. We use the low quartile, not the median (35.3x), because the 10-year Treasury is 5.1% today versus 1.5%-4.5% for most of that window.

The blend is $72, -9% from today. Our rule is BUY at +15% or more and SELL at -15% or worse, so the rating is **HOLD**. The two methods disagree by about $21. That gap is the main debate on

Valuation football field ($ per share)



this stock: the cash flows need either a bull case or a lower discount rate to support today's multiple.

Base-case DCF

$B	2H26E	2027E	2028E	2029E	2030E	2031E	2032E
Revenue	19.6	41.4	45.9	50.1	54.1	57.8	61.3
Unlevered FCF	3.7	8.0	9.1	10.1	11.0	11.8	12.6

Base case: growth 15% (2027) fading to 4% (2036); 28% EBIT margin; 24.5% tax; D&A 4.5% and capex 4.0% of sales; working capital 18% of incremental sales. Enterprise value $170B; terminal value 57% of EV; implied 2036 exit multiple 10.5x EBITDA.

WACC build	
Risk-free rate (10-yr UST, Oct 15)	5.10%
Beta: 5-yr monthly vs SPY, raw 1.26 (R^2 0.50, s.e. 0.17), Blume-adjusted	1.17
Equity risk premium	4.50%
Cost of equity	10.37%
After-tax cost of debt (A-rated index yield 5.71%)	4.31%
Weights: equity / debt (market value)	91% / 9%
WACC	**9.84%**

WACC \ g	2.5%	3.0%	3.5%	4.0%	4.5%
8.5%	$69	$74	**$79**	$85	$93
9.0%	$63	$67	$71	**$76**	**$82**
9.5%	$58	$61	$64	$68	$73
10.0%	$54	$56	$59	$62	$66
10.5%	$50	$52	$54	$57	$60
11.0%	$46	$48	$50	$52	$55

Base-case value per share by WACC and terminal growth. Shaded cells are within $5 of today's price: at our base cash flows, today's price needs a WACC of about 8.5% (or ~9% with 4.5% terminal growth).

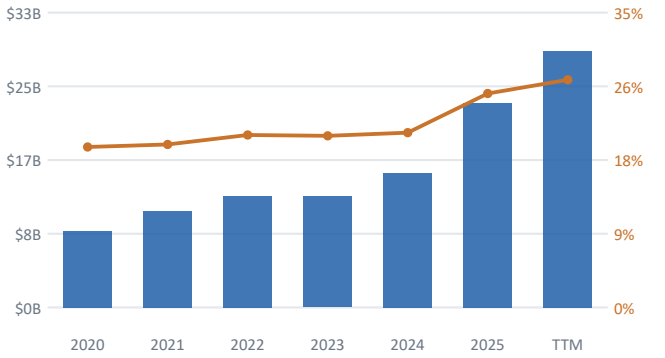
APH trailing P/E, point in time (monthly, Oct 2021 to Oct 2026)



Company and segments

Amphenol designs and makes connectors, interconnect systems, antennas, sensors and specialty cable, with plants in about 40 countries. It runs as a decentralized group of business units with an active acquisition program. In 2025 it closed five deals, including Trexon, and agreed to buy CommScope's CCS business, which closed in January 2026. In Q2 2026 it added El.Com (~$150M of sales, rugged high-voltage assemblies) and Wilder Technologies.

Revenue ($B, bars) and GAAP EBIT margin (line), FY2020 to TTM Q2 2026



Q2 2026, $M	Sales	Q2 25	YoY	Margin	Mix
Communications Solutions	5,384	2,910	+85%	33.6%	61.5%
Harsh Environment Solutions	1,857	1,445	+28%	30.1%	21.2%
Interconnect and Sensor Systems	1,518	1,295	+17%	21.0%	17.3%
Total	**8,758**	**5,650**	**+55%**	**30.7%**	**100%**

Segment margins are before stock comp and acquisition costs. Source: Q2 2026 release (8-K, July 29, 2026).

$M	2023	2024	2025	TTM
Revenue	12,555	15,223	23,095	29,012
EBIT margin	20.4%	20.7%	25.4%	27.0%
Free cash flow	2,156	2,149	4,378	4,714
Acquisitions (cash)	970	2,156	3,819	10,684 (1H26)

FCF = cash from operations - capex. Source: 10-K/10-Q via SEC XBRL; Historicals sheet.

- **Communications Solutions** (61% of sales): data-center, networking and mobile interconnect, now including CCS fiber connectivity. Up 85% YoY at a 33.6% margin, and the driver of the story.
- **Harsh Environment Solutions** (21%): military, commercial aerospace and industrial rugged connectors. +28%, 30.1%

margin.

- **Interconnect and Sensor Systems** (17%): automotive, industrial and sensor products. +17%, the lowest margin at 21.0%.

Scenarios

Case (probability)	2027E growth	Growth path	EBIT margin	Terminal g	Value / share	vs price
Bull (25%): AI build-out lasts through 2029; CCS cross-selling works	22%	22% to 4.5%	30%	4.0%	$85.39	+8%
Base (50%): organic growth fades from ~30% toward GDP+	15%	15% to 4%	28%	3.5%	$60.57	-24%
Bear (25%): AI datacom capex pauses in 2027; margin back to the 2025 level	4%	3% to 5%	25%	3.0%	$38.22	-52%

Comparable companies (TTM)

Company	EV/Sales	EV/EBITDA	EV/EBIT	P/E	EBIT margin	FCF yield
Amphenol (APH)	7.2x	22.9x	26.7x	38.0x	27.0%	2.4%
TE Connectivity (TEL)	3.4x	13.7x	17.3x	20.4x	19.7%	5.4%
Corning (GLW)	7.1x	30.6x	46.3x	59.8x	15.3%	2.1%
Vertiv (VRT)	6.9x	31.1x	36.6x	45.9x	18.9%	3.7%
Sensata (ST)	2.1x	15.1x	27.9x	65.7x	7.5%	9.8%
Belden (BDC)	1.7x	10.3x	14.4x	16.5x	11.9%	5.3%
Littelfuse (LFUS)	3.9x	68.0x	142.7x	n/m	2.8%	4.0%
Peer median (ex-APH)	3.7x	22.8x	32.2x	45.9x	13.6%	4.7%

TTM through each company's latest 10-Q (late June 2026; Littelfuse March 2026). Prices Oct 16, 2026. Littelfuse and Sensata TTM EBIT include impairments, which inflates their multiples, so we use the median. TE Connectivity is the closest pure connector peer, at 20x P/E and a 20% EBIT margin, against APH's 27%. APH's premium to TEL rests on 2-3x faster growth and a 7-point margin advantage.

Catalysts

- **Q3 2026 results (late October; confirm the date).** Guidance is $9.3-9.4B in sales and $0.70-0.71 adjusted EPS (split-adjusted). We model $9.7B. Watch organic growth against Q2's 30%, book-to-bill against 1.23, and the margin excluding Q2's $80M tariff refund.
- **Q4 2026 results and the first look at 2027 (late January 2027).** APH guides one quarter at a time, so the Q1 2027 guide and order commentary set the 2027 growth debate.
- **Hyperscaler 2027 capex budgets** (January-February 2027): the main driver of IT datacom demand.
- **CCS integration:** the Communications Solutions margin trend now that inventory step-up costs have rolled off.
- **Management transition:** Harsh Environment Solutions president Luc Walter moves to a strategic programs role on January 1, 2027. Ryan Fisher (North American Military Group) succeeds him (8-K, October 6, 2026).
- **FY2027 U.S. defense appropriations:** military spending supports Harsh Environment Solutions.

Risks to our view

- **Upside risk:** AI data-center spending keeps beating forecasts, so 2027 grows 20%+ and margins move toward 30%. That is our bull case, worth $85. A drop in long-term rates also helps: every 50bp off the WACC adds about $6 to our base value.
- **Downside risk:** concentrated hyperscaler demand. A capex pause would hit the highest-margin segment first. Integration and leverage: $16.7B of acquisitions since 2024, with debt up to $18.8B. Tariffs and China exposure. Acquisitions can also mask an organic slowdown, since reported growth (55%) is now well above organic growth (30%).
- **Model risk:** the terminal value is 57% of base-case EV. Our cost of equity uses a regression beta (R^2 0.50) and an assumed 4.5% equity risk premium.

Analyst perspective

I spent four years as a U.S. Marine operating tactical HF, VHF, UHF and MUOS satellite radio networks and managing a battalion's communications security account (~1,000 radios, vehicles and SATCOM antennas, $30M+ in total). In 100-degree field exercises I watched heat and faulty keys take radios down while fire missions depended on them. Military buyers pay for equipment that keeps working in those conditions, and they qualify suppliers slowly and rarely switch. That is why I see Harsh Environment Solutions as the most defensible and least appreciated part of Amphenol: a 30%-margin business growing 28%, overshadowed by the AI story.

Methodology and sources

Model: APH_Model.xlsx (Inputs, Beta, WACC, Historicals, Segments, three-scenario DCF, Sensitivity, Reverse DCF, Earnings, P/E History, Comps, Valuation). Every input is sourced in the Inputs sheet; all outputs are live formulas, recalculated in Excel. Filings: Amphenol 10-K FY2025 (filed Feb 11, 2026); 10-Qs for Q1 and Q2 2026; 8-Ks dated Jan 12, Jan 28, Apr 29, Jul 29, Sep 4 (2-for-1 split) and Oct 6, 2026. Peer filings: TEL, GLW, VRT, ST, BDC, LFUS (SEC XBRL companyfacts). Market data: Yahoo Finance (Oct 16, 2026); FRED DGS10 and BAMLC0A3CAEY (Oct 15, 2026). Statement history parsed with Project Hero One (analytics/financial_history.py).

Disclosures: independent educational research by Denver Lo (FINRA SIE). Not investment advice and not an offer to buy or sell securities. Estimates are the author's and may be wrong.